

ECON-1020 Introductory Macroeconomics

What is economics and what is macroeconomics

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What is Economics About?

Two basic concepts

Is Economics Good for You?

Is macroeconomics hard, harder?

Course objectives

A Motivational Example: Inequality

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This week:

- Chapter 2
- Chapter 2 Appendix

Next week:

- Chapter 4

What is Economics About?

What is economics?

Economics is the study of how agents choose to allocate scarce resources and how those choices affect society

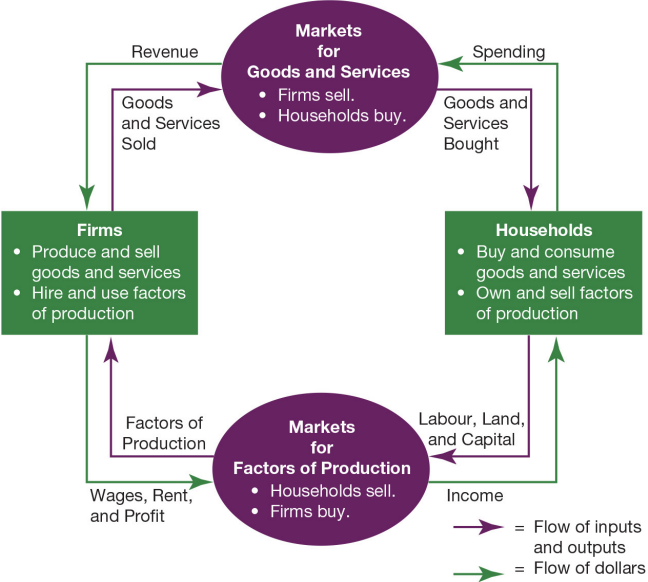
- Agents include individuals, businesses, and governments
- Scarce resources are things that people want, where the quantity that people want exceeds the quantity that is available

An important scarce resource: our time and our knowledge

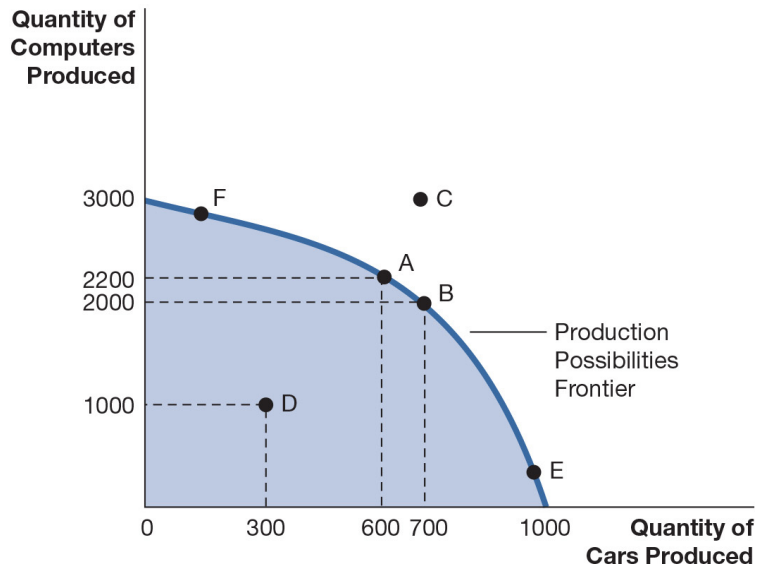
- Thus, production is highly specialized, trade is essential

- The scientific method involves observation and theory
- Economists use theory and observation, like physicists and biologists do
- One big difference: Experiments are often difficult in economics
- Economists use models to describe the world
- Models are built with assumptions

Example: Circular-Flow Diagram



Example: Production Possibilities Frontier



Microeconomics:

- the study of how households and firms make decisions and how they interact in individual markets

Macroeconomics:

- the study of economy-wide phenomena, e.g., inflation, unemployment, and economic growth

Two types of economic analysis

- **Positive analysis:** analysis that generates objective descriptions or predictions, which can be verified or falsified with data
 - E.g., our model suggests an $x\%$ of welfare loss if government raises tax rate by 1 percentage points
- **Normative analysis:** analysis that recommends what an individual or society ought to do
 - E.g., our model suggests that tax rate should be cut by 1 percentage points

Two basic concepts

Also called **allocation efficiency**

- An allocation of resources in the economy is said to be **efficient** if any modification to that allocation makes at least one individual worse off
- We say that efficiency in an economy can be **improved**, if a reallocation of resources leads to benefits of at least one individual while no one is worsen off
- There are other definitions of efficiency at the sub-economy levels, e.g. market efficiency

Opportunity cost

- The **opportunity cost** of using a resource is the best alternative use of that resource
- Put differently, the opportunity cost of getting something is what has to be given up in order to get that thing

Example:

- What is your opportunity cost of attending university?
- Is Facebook really free?

Is Economics Good for You?

Is economics useful?

- Cost-Benefit Analysis:
 - What is your opportunity cost of taking this course?
 - What are the benefits of taking this course?
- Tools in economic analysis help make daily decisions
- Economics helps understand why things happen in their ways
 - E.g., why is the executive compensation is so high in the U.S.?
 - E.g., why did inflation rise after the pandemic?

What about macroeconomics?

- Macroeconomics lays foundations for studying
 - long-run economic growth,
 - short-run fluctuations of output, and
 - important macroeconomic issues, e.g. inequality
- Macroeconomic theory provides tools for assessing and making policy:
 - Fiscal policy,
 - Monetary policy
- Therefore, macroeconomics helps the public and governments make informed decisions
 - E.g., did Bank of Canada act properly in containing post-pandemic inflation?

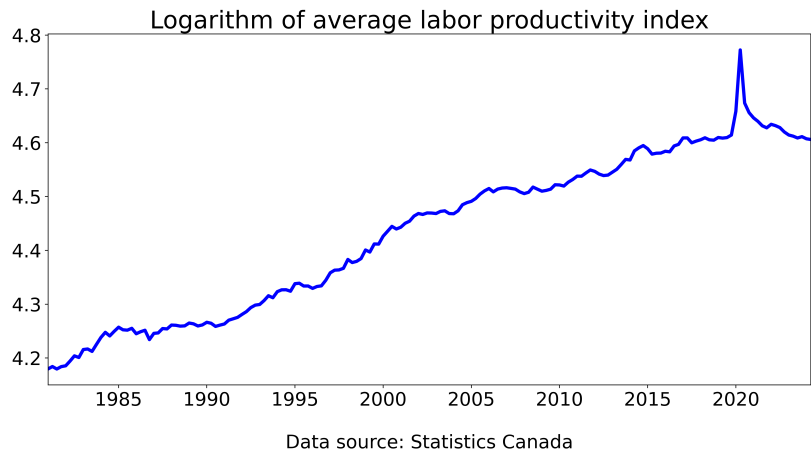
Is macroeconomics hard, harder?

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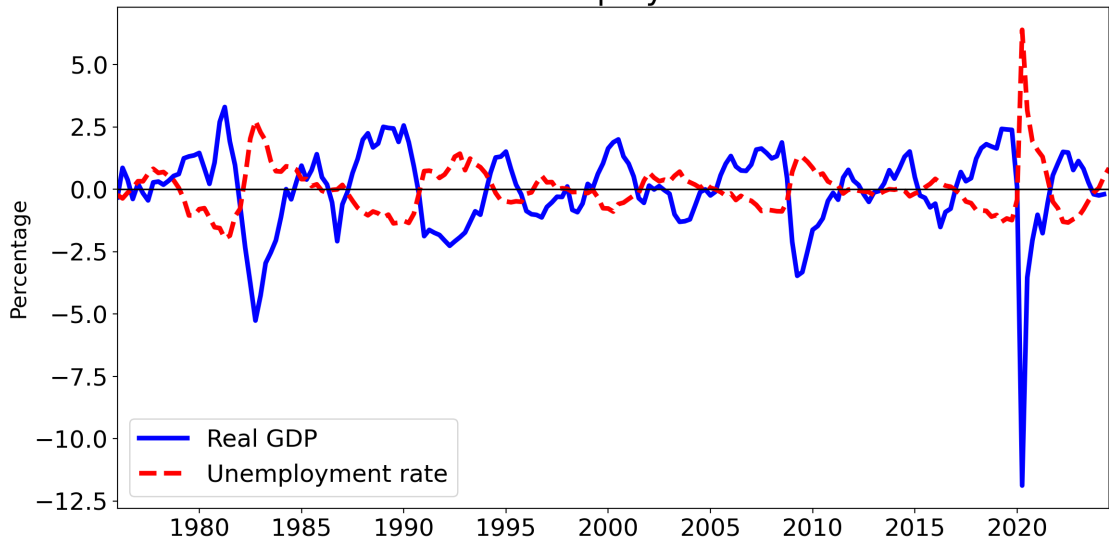
- Aggregate output is naturally more complex than outcome in an individual market
- But, macroeconomics shares the same principles as microeconomics
- Macroeconomics is no harder (than microeconomics)

Course objectives

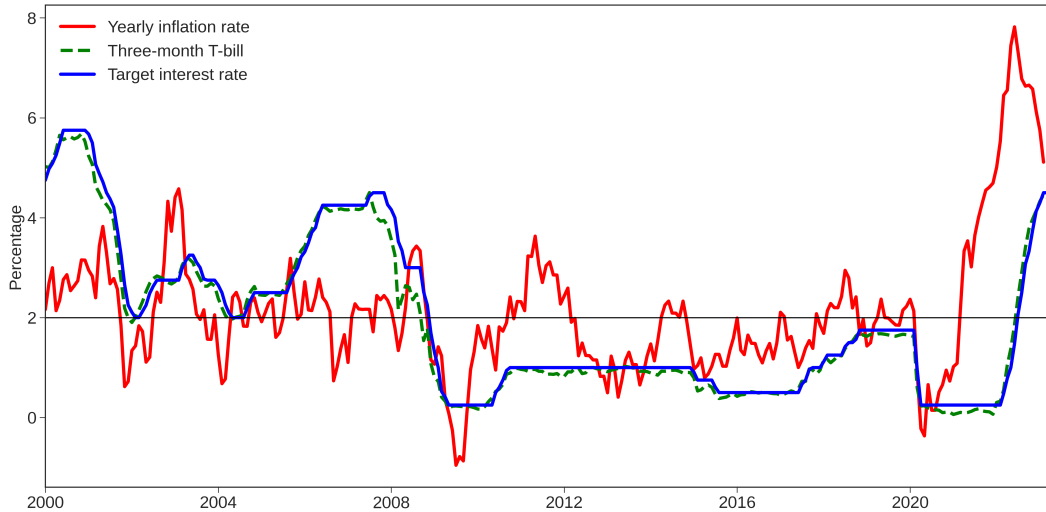
Key objectives through three charts



Fluctuations of unemployment and real GDP



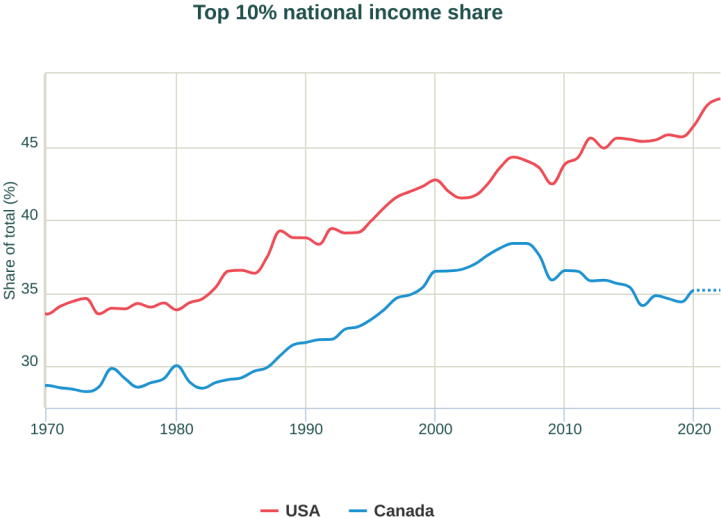
Inflation and nominal interest rates



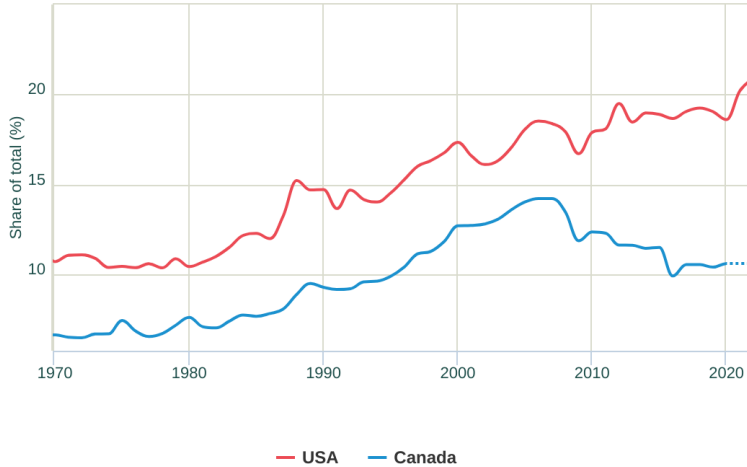
Data source: Statistics Canada

A Motivational Example: Inequality

Inequality has been increasing since 1970s in Canada and the U.S.

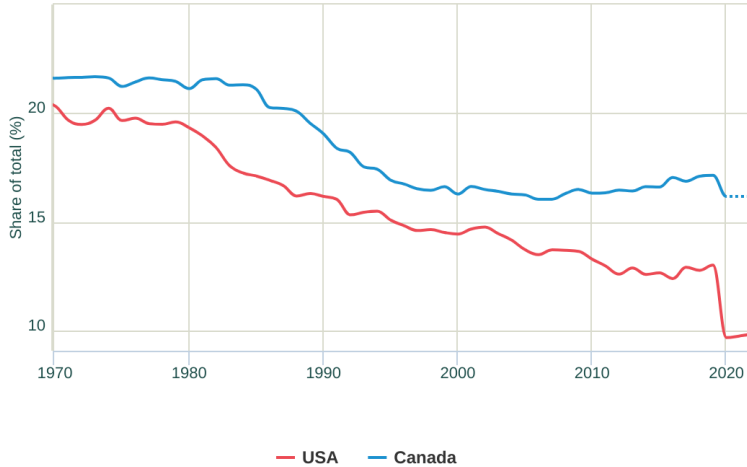


Top 1% national income share



Graph provided by www.wid.world

Bottom 50% national income share



Graph provided by www.wid.world

What cause the increase in inequality? Possible causes

- Education. Low-skilled workers are paid less relatively and over time
- Technology. Innovation leads to higher income, who innovate?
- Market. Markets may have become less competitive (more concentrated)
- Government Policy? Regulation?

- How do you know that a proposed cause is indeed an actual and important cause?
 - A very hard question, because the economy is not a controlled experiment
 - But, economists develop tools to provide some answers

Inequality is notably a challenging topic in (macro)economics

Credible policy recommendations come from formal analysis

- Policy advice depends on research findings

One channel of policy advice (in the U.S.):

- Economists are regularly invited to the Congress to speak of ongoing vital issues